

commodity is in contango, the second month contract is more expensive than the first month contract, and buyers lose out.

For many years, energy futures buyers made money from an oil market stuck in backwardations. According to data from Barclays Capital, oil was in a state of backwardation about 57 percent of the time between 1983 and 2007. However, the gains earned during those times became losses in 2006 when the market went into contango. This hurt ETF investors. The United States Oil Fund (symbol: USO) was the first crude oil ETF on the U.S. market. USO began trading on April 10, 2006, at \$68.25, a price roughly equal to that of a barrel of oil at the time. The fund closed one year later at \$52.01, representing a decline of 23.8 percent. During that same period, however, the U.S. benchmark price of crude oil fell only a modest 6.5 percent. Much of the extra loss in USO was a loss resulting from the negative roll yield from an oil futures market that moved into contango.

Trading Futures Contracts

A futures contract is an agreement to buy or sell a set amount of a commodity on a designated date in the future and at an agreed-upon price. Futures are part of a class of securities called *derivatives*, so named because they derive their value from the worth of an underlying asset. In the case of commodities futures, a contract is priced in part on today's spot price for that commodity and in part on the anticipated spot price on the future delivery date.

Think of a futures contract as nothing more than buying a commodity on layaway. As a buyer, you agree on the price of a standardized commodity contract and holding amount for the contract known as margin. The balance on the contract is due on the delivery date of the commodity. A contract is an obligation, so it must be honored by both the buyer and the seller. However, you do not need to take delivery of the commodity. You are allowed to sell the contract any time before the delivery date and close out your position.

A standardized futures contract for a commodity has a preestablished size and settles on a preestablished date. It is traded on one of the established futures exchanges and is confirmed with a standard holding payment known as *margin*. Margin is typically 2 to 7 percent of the value